Calendar Line 1

Case Name: *Arriaga, et al. v. Lara, et al.*
Case No.: 17CV310003 [coordinated into Arriaga and Associates Wage and Hour Cases (Case No. JCCP4980)]

This matter was part of a consolidated and bifurcated/trifurcated cases involving Louis Christopher Arriaga ("Arriaga") and Arriaga & Associates, Inc. ("A&A")(collectively "Judgment Debtors"), which is a company that provides security for other business and entities.

Before the Court is the claim of exemption of third-party Raylene Khan ("Khan") regarding the levied property located at 1411 Shadow Oaks Way, Saratoga, CA 95070 (the "Property"), which is opposed by Judgment Creditors.[1]

As discussed below, the Court DENIES Khan's claim of exemption.

I. BACKGROUND

The initial complaint was brought by Plaintiffs A&A and Arriaga against defendants Jason Lara, Jose Segura, and Maddison Group, Inc. A&A alleged that defendants Jason Lara ("Lara"), and Jose Segura ("Segura") were employees of Arriaga, Inc. (FAC, ¶ 7.) On July 1, 2016, Lara and Segura contacted A&A's biggest customer, Dave Busters, to speak about replacing A&A. with Lara, Segura, and couple of additional employees of A&A, for the provision of security to Dave and Busters in California. (FAC, ¶¶ 11-13.) Dave and Busters decided to make the switch. (FAC, ¶¶ 16-19.) Arriaga and A&A asserted the following causes of action: (1) unfair competition in violation of Business and Professions Code section 17200; (2) intentional interference with prospective economic advantage; (3) breach of fiduciary duty; (4) conversion; (5) conspiracy; (6) breach of implied in fact contact; and (7) injunctive relief. In the First Amended Class Action Cross-Complaint ("FACC"), Cross-Complainants Lara, Segura, Douglas Martin, Marty Verducci, and Russ Oleyer (collectively, "Cross-Complainants"), filed on July 8, 2020, in the lead case, Cross-Complainants allege that Arriaga and A&A violated various Labor Code provisions and Wage Orders. In the eighteenth cause of action, Lara and Segura assert defamation claim.

On March 21, 2024, the Court (Hon. Alloggiamento) entered judgment against Judgment Debtors in the amount of $20,051,690.59. On October 17, 2024, counsel associated into this action as co-counsel of record for Judgment Creditors. On October 22, 2024, the Court entered a fee award of over $10 million in favor of Judgment Creditors, and their counsel, and against Judgment Debtors. On April 17, 2025, the Court entered the Second Amended Judgment. On October 17, 2025, the Court (Hon. Adams) issued its order which granted Judgment Creditors' motion for an assignment order; granted their motion for a charging order; and denied their motion to vitiate the attorney-client privilege.

[1] Judgment Creditors consists of the former employees of Judgment Debtors, both individually and in classes.

On December 15, 2025, Judgment Creditors filed their application for sale of the Property.

II. MOTION REGARDING A CLAIM OF EXEMPTION BY THIRD PARTY

A. Legal Standard

Code of Civil Procedure section 703.520, provides, “the claimant may make a claim of exemption by filing with the levying officer either in person or by mail, a claim of exemption together with a copy of the claim. If the claimant is personally served, the claim shall be made within 15 days after the date the notice of levy of the property claimed to be exempt is served on the judgment debtor. If the claimant is served by mail, the claim shall be made within 20 days after the date the notice of levy on the property claimed to be exempt is served on the judgment debtor…” (Code Civ. Proc., § 703.520, subd. (a).)

Code of Civil Procedure section 720.110, provides, “[a] third party claiming ownership or the right of possession of property may make a third-party claim under this chapter in any of the following cases if the interest claimed is superior to the creditor’s lien on the property: (a) Where real property has been levied upon under a writ of attachment or a writ of execution. (b) Where personal property has been levied upon under a writ of attachment, a writ of execution, a prejudgment or post judgment writ of possession, or a writ of sale.” (Code Civ. Proc., § 720.110.) “A person making a third-party claim under this chapter shall file the claim with the levying officer, together with two copies of the claim, after levying on the property but before the levying officer does any of the following: (a) Sells the property. (b) Delivers possession of the property to the creditor. (c) Pays proceeds of the collection to the creditor.” (Code Civ. Proc., § 720.120.)

Code of Civil Procedure section 720.130, subdivision (a), provides,

(a) The third-party claim shall be executed under oath and shall contain all of the following:
   (1) The name of the third person and an address in this state where service by mail may be made on the third person.
   (2) A description of the property in which an interest is claimed.
   (3) A description of the interest claimed, including a statement of the facts upon which the claim is based.
   (4) An estimate of the market value of the interest claimed.

(Code Civ. Proc., § 720.130, subd. (a).)

Following the filing of the third-party claim with the levying officer, “either the creditor or the third person may petition the court for a hearing to determine the validity of the third-party claim and the proper disposition of the property that is the subject of the claim.” (Code Civ. Proc., § 720.310.)

B. Discussion

On January 9, 2026, the Santa Clara Sheriff's Office mailed Khan's third-party claim and supporting documents to Judgment Creditors. On January 26, 2026, Judgment Creditors filed their opposition to Khan's claim of exemption and an application for a hearing to determine the validity of her claim of exemption.

On January 13, 2026, Khan submitted a claim of third-party exemption stating: she is not the judgment debtor in this action; she became aware of a notice of levy against the Property on December 26, 2025; she is the owner and holder of a legal and equitable interest in the Property since December 26, 2018; the judgment debtor does not own the property. (Claim of Exemption, ¶¶ 1-4.) She contends the Property is exempt from the judgment pursuant to Code of Civil Procedure section 703.520; and the levy is improper and unlawful as applied to her property interest. (Claim of Exemption, ¶¶ 5-6.)

On February 14, 2026, Khan submitted a supplemental declaration in which she reiterated the same information, adding that she is the manager and sole member of Rayko LLC, which was erroneously named in documents as Rayco, LLC. She also included additional documents recovered in discovery after January 29, 2026. In support, Khan provides the following evidence:

(1) her initial declaration opposing the applicable for sale of the Property: Exhibit 1;
(2) Proof of service: Exhibit 2;
(3) memorandum of points: Exhibit 3;
(4) email of closing packet for the Property: Exhibit 4;
(5) CAR purchase agreement-Ryan O'Sullivan and Samantha Arriaga, dated June 8, 2022: Exhibit 5;
(6) Recorded full reconveyance and erroneous name correcting Rayco to Rayko, LLC: Exhibit 6;
(7) Wells Fargo bank statements identifying the erroneous name issues: Exhibit 7;
(8) Estimated settlement statement First American identifying the initial deposit to Rayco: Exhibit 8;
(9) Property tax payments by Ryan O'Sullivan dated from December 7, 2023 to the present: Exhibit 9;
(10) Proof of utility responsibility and payments-Ryan O'Sullivan: Exhibit 10.

In opposition, Judgment Creditors argue Khan has no ownership interest in the Property. (Judgment Creditors' Opposition ("Opp."), p. 5:16-21.) They argue that Khan's evidence shows that the title to the Property was transferred to "Rayco Limited Liability Company", not to her and thus, she fails to establish that she has ever held an ownership interest in the Property. (Opp., p. 5:21-24.)

Corporations Code section 17701.04 provides that "a limited liability company is an entity distinct from its members." (Corp. Code, § 17701.04, subd. (a).) Thus, an LLC has its own legal existence separate from the individuals or entities that are its members. (See *PacLink Communications Intern., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, 965 (*PacLink Communications*).) In other words, the LLC may own property independent from the individual abilities of its members. (*Ibid.*) Moreover, a membership interest in an LLC constitutes the members' personal property, however, it does not include an ownership interest in assets held by the LLC. (See *Denevi v. LGCC, LLC* (2004) 121 Cal.App.4th 1211, 1214, fn. 1, 18 Cal.Rptr.3d 276 [Like corporate shareholders, members of a limited liability company hold no direct ownership interest in the company's assets"]; *PacLink Communications, supra,* 90 Cal.App.4th at p. 964 [same].)

The Grant Deed dated December 26, 2018, states that the property was granted to "Rayco Limited Liability Company." (Claim of Exemption, Exh. B.) The Articles of Organization, dated July 24, 2008, provide that Khan is the initial manager of the company and the member who owns a 20% or greater interest in the company. (Claim of Exemption, Exh. C.) However, the only evidence before the Court pertains to Rayko's ownership interest in the Property. In other words, Khan fails to establish a superior interest in the Property.

To the extent Khan asserts an ownership interest on behalf of Rayko, Judgment Creditors argue this is insufficient as she cannot speak for the LLC in propria persona. (Opp., p. 6:1-3.) This argument is well taken as there is no dispute that Rayko is an LLC. California courts have long held that an LLC cannot represent itself in a court of record either in propria personal or through an officer or agent who is not an attorney. (See *Caressa Camille, Inc. g. Alcoholic Beverage Control Appeals Bd.* (2002) 99 Cal.App.4th 1094, 1101.) Here, it appears Khan is a real estate agent. (See Judgment Creditors' Application for Order for Sale of [the Property], ¶¶ 7-8; Exh. 1, p. 61:16-25.) Therefore, Khan is not represented by counsel nor is she an attorney herself, thus, she cannot represent Rayko or assert an interest on its behalf. (*See Merco Constr. Engineers, Inc. v. Municipal Court* (1978) 21 Cal.3d 724, 730; *Paradise v. Nowlin* (1948) 86 Cal.App.2d 897, 898.) Consequently, Khan does not establish a superior property interest to support her claim of exemption.

Based on the foregoing, Khan's claim for exemption of third-party is DENIED.

III. CONCLUSION

Khan's claim of exemption is DENIED.

The Court will prepare the order.

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Case Name: *Credit Corp Solutions, Inc., v. Lorie Ann Guzman*
Case No.: 19CV361005

Plaintiff and Cross-Defendant Credit Corp Solutions, Inc. ("CCS") brought this case to collect a debt allegedly owed by Defendant and Cross-Complainant Lorie Guzman. Ms. Guzman filed a cross-complaint against CCS, Credit Corp Group Limited, Patenaude & Felix, and Todd Christopherson (collectively, "Cross-Defendants") alleging putative class claims under the California Fair Debt Collection Buying Practices Act, Civil Code section 1788.50-1788.64 (the "CFDBPA"); the federal Fair Debt Collection Practices Act, 15 U.S.C. sections 1692-1692p (the "FDCPA"); and the California Rosenthal Fair Debt Collection Practices Act, Civil Code sections 1788-1788.33 (the "RDCPA")

Before the Court is the parties' joint motion for final approval of Class settlement (the "Settlement") and Class Counsel's motion for attorneys' fees, costs, and service award. As discussed below, the Court GRANTS the motions.

I. BACKGROUND

According to the allegations of the operative second amended complaint ("SAC"), CCS is a debt buyer and the assignee of LendingClub Corporation ("LendingClub"). (SAC, ¶ 5.) WebBank, serviced by LendingClub, extended a loan to Ms. Guzman pursuant to her submitted loan application, for personal, family, or household purposes. (SAC, ¶ 6.) Within five business days of origination, WebBank transferred or otherwise conveyed all of its rights, title, and interest in the account to LendingClub. (SAC, ¶ 7.) Ms. Guzman defaulted on the requirement payments and LendingClub assigned and transferred all right, title, and interest in the account to CCS. (SAC, ¶ 8.)

CCS is the sole owner of the account at issue, or has authority to assert the rights of all owners of the debt. (SAC, ¶ 9.) The balance at charge-off was $2,093.96 and CCS is not seeking to recover any post charge-off fees or interest. (SAC, ¶ 10.) The date of last payment was on or about January 22, 2016 and the name of the charge-off creditor is LendingClub. (SAC, ¶¶ 11-12.) CCS has complied with Civil Code section 1788.52. (SAC, ¶ 15.)

Based on the foregoing, CCS initiated this action with the filing of the complaint on December 31, 2019 and on February 4, 2020, it filed its first amended complaint, which asserted a single cause of action for breach of contract. On January 4, 2021, it filed the operative SAC, which asserts a claim for breach of contract. On July 2, 2020, Ms. Guzman filed her Cross-Complaint and on January 4, 2021, she filed her operative first amended Cross-Complaint, which asserts causes of action under (1) the CFDBPA; (2) the FDCPA; and (3) the RDCPA. On August 29, 2025, the Court issued its order which granted the parties' joint motion for preliminary approval of class action settlement.

The parties now seek final approval of Class Action.

II. MOTION FOR FINAL APPROVAL